ADITING

1. Define Auditing

Auditing is the systematic and independent examination of books of accounts and financial statements to verify their accuracy and to express an opinion on their truth and fairness.

2. What is an Audit?

An audit is the process of checking and verifying financial records, transactions, and statements to ensure they are correct, complete, and prepared according to applicable laws and standards

3. State one objective of auditing

One main objective of auditing is to ensure that financial statements present a true and fair view of the financial position and performance of the business.

4. What is an Auditor?

An auditor is a qualified and independent person who examines financial records and statements of an organization and gives an opinion on their accuracy and reliability.

5. Define Fraud

Fraud is an intentional act of deception carried out to gain unfair or illegal advantage, such as misappropriation of assets or manipulation of financial statements.

6. Define Error

An error is an unintentional mistake in accounting records caused by negligence, oversight, or lack of knowledge, without any intention to deceive or commit fraud.

7. What is Auditor's Independence?

Auditor's independence refers to the ability of an auditor to perform duties without bias, influence, or pressure, ensuring an objective and unbiased audit opinion.

8. What is Ethical Principle in Auditing?

Ethical principles in auditing are the moral guidelines such as integrity, objectivity, confidentiality, and professionalism that auditors must follow while performing their duties.

9. What is Internal Audit?

Internal audit is an examination conducted by employees within the organization to evaluate internal controls, risk management, and operational efficiency for improving performance.

10. What is External Audit?

External audit is an independent examination of financial statements conducted by an outside auditor to provide an unbiased opinion on their accuracy and compliance.

2-4 mark

1. Explain the Nature of Auditing

Auditing is a systematic and independent examination of financial records. It is analytical, evidence-based, and objective. It involves verification of transactions and evaluation of internal controls. The auditor forms a professional judgment to ensure that financial statements present a true and fair view.

2. State the Main Objectives of Auditing

The main objective of auditing is to ensure that financial statements show a true and fair view. Other objectives include detecting errors and frauds, verifying assets and liabilities, ensuring compliance with laws, and increasing the reliability and credibility of financial information.

3. Explain Basic Principles of Auditing

Basic principles include integrity, objectivity, and independence of the auditor. Auditors must maintain confidentiality, possess skill and competence, collect sufficient audit evidence, and properly document their work. Planning and supervision are also essential to ensure effective and reliable audit performance.

4. Distinguish between Error and Fraud

Error is an unintentional mistake caused by negligence or lack of knowledge, while fraud is an intentional act done to deceive for personal gain. Errors have no dishonest motive and are easier to detect, whereas fraud involves deliberate manipulation and is difficult to identify.

5. Explain Types of Errors

Types of errors include errors of omission (not recording transactions), errors of commission (wrong recording), errors of principle (violating accounting principles), and compensating errors (errors that cancel each other). These errors affect the accuracy of financial statements.

6. What are Limitations of Auditing?

Auditing has limitations such as reliance on test checking instead of full verification, dependence on management information, time and cost constraints, and human judgment. It cannot detect all frauds and provides only reasonable assurance, not absolute certainty.

7. Explain Auditor's Duties Regarding Fraud Detection

The auditor must exercise reasonable care and skill to detect material frauds. He should evaluate internal controls, assess risks, and apply appropriate audit procedures. However, the auditor is not solely responsible for preventing fraud but must report suspected frauds.

8. What are Ethical Principles of Auditing?

Ethical principles include integrity, objectivity, confidentiality, and professional competence. Auditors must act honestly, remain unbiased, protect client information, and perform work with due care. These principles ensure trust, credibility, and professionalism in auditing practice.

9. Explain Independence of Auditor

Independence means the auditor performs duties without bias, influence, or pressure. It includes independence in fact and appearance. This ensures an unbiased opinion, enhances credibility, and builds confidence among stakeholders in the financial statements.

10. Relationship between Auditing and Accounting
Accounting involves recording and preparing financial statements, while auditing involves examining and verifying them. Auditing depends on accounting data, but both are separate functions. Accounting creates information, whereas auditing checks its accuracy and reliability.

5 mark

1. Discuss Advantages of Auditing

Auditing provides several advantages to a business. It ensures that financial statements present a true and fair view, thereby increasing their reliability. It helps in detecting and preventing errors and frauds. Audited accounts enhance the confidence of investors, creditors, and other stakeholders. It also improves internal control systems and operational efficiency. Auditing assists management in decision-making by providing accurate financial information. Moreover, it is useful for taxation and legal purposes. Overall, auditing promotes transparency, accountability, and trust in business operations.

2. Explain Types of Frauds in Auditing

Frauds in auditing can be classified into different types. Misappropriation of assets involves theft or misuse of company resources. Manipulation of accounts includes falsification of records to show false profits or conceal losses. Embezzlement refers to wrongful use of funds by employees. Suppression of transactions means hiding actual transactions to deceive users. Window dressing involves presenting financial statements in a misleading manner. These frauds are usually intentional and difficult to detect, requiring careful examination and strong internal control systems by auditors.

3. Discuss Auditor's Responsibility for Errors and Frauds

The auditor is responsible for obtaining reasonable assurance that financial statements are free from material misstatements caused by errors or frauds. He must exercise due care, apply proper audit procedures, and evaluate internal controls. The auditor should identify risk areas and remain alert to suspicious activities. However, he is not responsible for detecting all frauds, especially those involving collusion or management override. If fraud or error is detected, the auditor must report it appropriately. Thus, the auditor's responsibility is limited but significant.

4. Explain Threats to Auditor's Independence

Auditor's independence may be affected by several threats. Self-interest threat arises when the auditor has financial interest in the client. Self-review threat occurs when the auditor audits his own work. Familiarity threat develops due to close relationships with the client. Intimidation threat arises when the auditor is pressured or threatened by management. Advocacy threat occurs when the auditor promotes the client's interests. These threats can affect objectivity and must be controlled through professional ethics and safeguards.

5. Relationship between Auditing and Investigation

Auditing and investigation are related but different activities. Auditing is a routine examination of financial statements to express an opinion on their truth and fairness. Investigation is a detailed and specific examination conducted for a particular purpose, such as detecting fraud or evaluating financial position. Auditing is general and periodic, while investigation is special and intensive. Auditing relies on test checking, whereas investigation involves thorough checking. Thus, investigation goes deeper than auditing and is conducted when specific issues arise.

Unit-3 Audit Sampling

1. Define Audit Sampling

Audit sampling is the application of audit procedures to less than 100% of items within a population, so that the auditor can draw conclusions about the entire population based on selected samples.

2. What is Test Checking?

Test checking is a method where the auditor examines only a selected number of transactions instead of all, to form an opinion about the accuracy and reliability of the entire set of records.

3. What is Sampling Risk?

Sampling risk is the risk that the auditor's conclusion based on a sample may differ from the conclusion that would be reached if the entire population were examined.

4. Define Compliance Test

A compliance test is an audit procedure used to evaluate whether internal controls are functioning effectively and being followed as prescribed by the organization.

5. Define Substantive Test

A substantive test is an audit procedure performed to verify the accuracy, completeness, and validity of financial transactions and balances recorded in the financial statements.

6. What is Analytical Review?

Analytical review involves evaluating financial information by studying relationships among data, trends, and ratios to identify unusual fluctuations or inconsistencies requiring further investigation.

7. What is Random Sampling?

Random sampling is a method where each item in the population has an equal chance of being selected, ensuring unbiased and representative selection of samples.

8. What is Judgment Sampling?

Judgment sampling is a non-statistical method where the auditor selects samples based on personal judgment, experience, and knowledge rather than random selection.

9. What is Population?

Population refers to the entire set of data or items from which the auditor selects a sample for examination during the audit process.

10. What is Sample Size?

Sample size is the number of items selected from the population for audit testing, determined based on risk, materiality, and audit objectives.

Mark 2-3

1. Types of Audit Sampling

Audit sampling can be of two types: **statistical** and **non-statistical sampling**. Statistical sampling uses mathematical methods and probability theory, while non-statistical sampling depends on auditor's judgment. Both methods help in selecting representative samples for drawing conclusions about the population.

2. Techniques of Test Checking

Test checking techniques include **random selection**, **systematic selection**, and **judgmental selection**. The auditor selects a few transactions from a large population and examines them in detail. The choice of items depends on risk, materiality, and nature of transactions.

3. Sampling Risk and its Types

Sampling risk is the possibility that the auditor's conclusion based on a sample differs from that of the entire population. It includes **risk of incorrect acceptance** and **risk of incorrect rejection**, which may affect audit opinion and decision-making.

4. Difference between Compliance and Substantive Test

Compliance tests are used to check whether internal controls are working effectively. Substantive tests are used to verify the accuracy and completeness of financial data. Compliance focuses on procedures, while substantive tests focus on financial statements.

5. Importance of Audit Sampling

Audit sampling is important because it saves time and cost while still providing reliable results. It allows the auditor to examine large volumes of data efficiently and helps in forming conclusions without checking every transaction.

6. Methods of Sampling

Sampling methods include **random sampling**, **systematic sampling**, **stratified sampling**, and **judgment sampling**. Each method has its own advantages and is selected based on audit objectives, risk level, and size of population.

7. What is Audit in Depth?

Audit in depth refers to detailed examination of a particular transaction or group of transactions from beginning to end. It involves checking all related documents to ensure accuracy, validity, and proper recording.

8. Analytical Review Procedure

Analytical review procedure involves analyzing financial data through ratios, trends, and comparisons. It helps in identifying unusual variations or inconsistencies that may indicate errors or fraud, requiring further investigation.

9. Advantages of Sampling

Sampling reduces audit time and cost, making the audit process efficient. It allows examination of large data quickly and helps in forming reliable conclusions. It also simplifies audit work while maintaining reasonable accuracy.

10. Limitations of Sampling

Sampling has limitations such as sampling risk and possibility of incorrect conclusions. It may not detect all errors or frauds. Results depend on sample selection and may not always represent the entire population accurately.

Mark 5

1. Explain Audit Sampling Methods

Audit sampling methods are techniques used to select items from a population for examination. The main methods include **random sampling**, where each item has an equal chance of selection; **systematic sampling**, where items are selected at regular intervals; **stratified sampling**, where the population is divided into groups and samples are taken from each group; and **judgment sampling**, where the auditor selects items based on experience and judgment. Statistical sampling uses mathematical techniques, while non-statistical sampling relies on professional judgment. The choice of method depends on audit objectives, risk, and size of the population.

2. Discuss Test Checking Techniques

Test checking involves examining selected transactions instead of the entire population. Techniques include **random selection**, **systematic selection**, and **judgmental selection**. The auditor selects representative samples based on materiality and risk. Important transactions may be checked fully, while others are tested selectively. Test checking helps in saving time and cost while still providing reasonable assurance. However, the auditor must ensure that the sample is representative and sufficient to draw valid conclusions. Proper planning and understanding of internal controls are essential for effective test checking.

3. Sampling Risk in Auditing

Sampling risk is the risk that the auditor's conclusion based on a sample differs from the conclusion that would be reached if the entire population were examined. It arises because only a part of the data is tested. There are two main types: **risk of incorrect acceptance**, where errors are not detected, and **risk of incorrect rejection**, where correct data is considered wrong. Sampling risk can affect audit quality and opinion. It can be reduced by increasing sample size, using proper sampling methods, and applying professional judgment carefully.

4. Compliance vs Substantive Testing

Compliance testing and substantive testing are two types of audit procedures. Compliance tests are used to evaluate whether internal controls are properly designed and functioning effectively. Substantive tests are used to verify the accuracy and completeness of financial transactions and balances. Compliance testing focuses on procedures and controls, while substantive testing focuses on financial data. Both are important in auditing, as strong internal controls reduce the need for extensive substantive testing. Auditors use a combination of both to obtain sufficient audit evidence.

5. Analytical Procedures in Auditing

Analytical procedures involve evaluating financial information by analyzing relationships among data, trends, and ratios. These procedures help auditors identify unusual fluctuations, inconsistencies, or unexpected changes. They are used at different stages of the audit, including planning and final review. Common techniques include ratio analysis, trend analysis, and comparison with industry standards. Analytical procedures are useful for understanding business performance and detecting potential errors or fraud. They save time and provide valuable insights but should be supported by other audit evidence.